

Channel Intermediaries and Manufacturer Performance: An Exploratory Investigation in an Emerging Market

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September 2020

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Authors thank the participants of the JR Thought Leadership Conference on Metrics and Analytics in Retailing, Atlanta, for their valuable insights, comments, and suggestions on the earlier version of the manuscript. The authors thank the data providing manufacturer for its support. The authors also thank the participating intermediaries and the managers in the qualitative study for their insights and support. Finally, the authors thank the managers of the data providing manufacturer who are instrumental in implementing the insights from the research and providing us the results.

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Abstract

Channel intermediaries (hereafter, intermediaries) are among the most critical elements of any supply chain as the bulk of manufacturing output is transported through them. However, we have a limited understanding of the approach a manufacturer should take to achieve the dual goal of increasing profitability and intermediary satisfaction. To provide manufacturers with practical strategies to boost their performance and their intermediaries' satisfaction, we rely on three related studies. In Study 1, through interviews with managers and intermediaries, we find that distribution alignment across intermediary, market, and product types may be a practical strategy for both manufacturers and intermediaries. In Study 2, by using a robust empirical methodology with data from a construction product manufacturer operating in an emerging market, we find that various combinations of intermediary, market, and product types affect the manufacturer's performance differently. Accordingly, through a supply-side examination, we quantify the revenue impact of reallocating the studied manufacturer's retail distribution resources among different intermediary-, market-, and product-type combinations. In Study 3, through a field implementation, we find that our recommended intermediary alignment strategy from Study 2 substantially boosts both the manufacturer's performance (by 14% in revenue and 13% in profit) and intermediaries' satisfaction (by 7.71%). Thus, with our qualitative, empirical, and field studies, we contribute to the existing research in channel management, emerging market retailing, retail distribution, and marketing strategy.

Keywords: channel intermediaries, manufacturers, intermediary management strategies, field implementation, retailing, distribution

Introduction

Channel intermediaries (hereafter, intermediaries) are the entities that facilitate the distribution of a manufacturer's products to end consumers ([Kumar, Scheer and Steenkamp 1995](#)). These intermediaries typically include dealers, wholesalers, distributors, retailers, and institutional buyers¹, and they are essential elements of any distribution chain as they transport the bulk of a nation's manufacturing output ([Krafft et al. 2015](#)). For example, in the U.S., the wholesale distribution market reached a record high of \$6.01 trillion in 2018, up 7.5% from 2017²; in India, the retail distribution market is projected to grow to \$1.1 trillion by 2021 (from \$672 billion in 2017)³. In addition to these substantial figures, many academic studies ([Watson IV et al. 2015](#); [Arnold and Palmatier 2012](#); [Bailey and Bakos 1997](#); [Dahlquist and Griffith 2014](#); [Coughlan 1985](#)) and managerial insights ([Fites 1996](#)) support the notion that intermediaries are the backbone of a manufacturer's success. Accordingly, the extant literature has proposed several strategies, including aligning brands with the retail store format ([Kumar, Sunder and Sharma 2015](#)), inventory sharing ([Zhao, Deshpande and Ryan 2005](#)), and the management of power, relationships, and commitment ([Brown, Lusch and Nicholson 1995](#); [Lassar and Kerr 1996](#)) to manage intermediaries.

Despite the abundance of studies in the domain of intermediary management, most studies focus on relationships between the two interacting parties, i.e., manufacturers and intermediaries, by ignoring the fact that manufacturers typically 1) deal with multiple intermediary types; 2) operate in different markets (with different demands and consumption capacities), and 3) sell a variety of products to meet heterogeneous customer needs. Further, most existing studies were carried out in

¹ Dealers are the link between distributors and consumers while distributors connect the manufacturer to dealers. The definition/classification of distributors/dealers can vary from industry to industry. On many occasions, distributors are directly connected to retailers/buyers. Institutional buyers are the organizations/institutions that purchase products for the use of their customers. For example, a school/college can be an institutional buyer that buys products for students' consumption. Similarly, a company can also be an institutional buyer as it can purchase products for its employees. There is a marginal difference between distributors and wholesalers. "Distributors are independent selling agents, who sell specific goods, mainly as wholesalers. They usually purchase products directly from the manufacturers at wholesale" prices and sell them to dealers (<https://smallbusiness.chron.com/differences-between-wholesalers-distributors-retailers-30836.html>). When we talk about intermediaries, we refer to physical intermediaries, not online intermediaries/resellers.

² <https://www.naw.org/state-of-the-industry/>

³ <https://www.export.gov/article?id=India-Distribution-and-Sales-Channels>

the context of developed markets, where intermediaries are largely organized. Marketplace evidence confirms that emerging market manufacturers typically sell multiple products across multiple markets (e.g., rural and urban) by managing multiple types of intermediaries ([EGEDE 2013](#)). Hence, the suggested insights from the literature regarding intermediary management may not apply to manufacturers managing intermediaries in a multi-product, multi-intermediary type, multi-market, and emerging economy context.

Motivated by the gaps in the literature and marketplace evidence, to develop an implementable intermediary management strategy (across multiple markets, intermediaries, and product types) for emerging market manufacturers, we conduct three related studies. We start with a qualitative study (labeled as Study 1) by interviewing managers of manufacturers and intermediaries across different industries. Study 1 reveals that managers do not have specific intermediary management strategies, apart from offering tangible (e.g., cash discount) and intangible (e.g., a foreign vacation) benefits. Study 1 also suggests that manufacturers' push of products (without a proper understanding of the demand) decreases the intermediary satisfaction. Lastly, and most importantly, Study 1 suggests that some form of distribution alignment across the intermediary, market, and product types can improve both manufacturers' profits and intermediaries' satisfaction. Thus, Study 1 not only motivates but also guides our other two studies.

Building on Study 1, we lean on the Governance Value Analysis (GVA) framework ([Ghosh and John 1999](#); [Ghosh and John 2005](#)) that explores the three-way alignment among resources, specific investments, and governance to argue that the alignment of intermediaries with the product and market types can be a strategy for manufacturers to increase their profit and intermediaries' satisfaction. Accordingly, our research objectives become the following:

- 1. Develop an implementable and effective intermediary alignment strategy for emerging market manufacturers at the market and product type levels.*
- 2. Quantify the impact of the developed intermediary alignment strategy on the manufacturer's profitability and intermediary satisfaction in the field.*

Developing a multi-market-intermediary-product distribution alignment strategy for manufacturers (i.e., our first research objective) requires quantifying the differential impacts of various intermediary-, market-, and product-type combinations on the manufacturer's revenue performance. To quantify these differential impacts, we use a robust empirical approach (labeled as Study 2) and data from an emerging market construction product⁴ manufacturer. Using the estimated empirical model as an input, we quantify the revenue impact of increases/decreases in the number of intermediaries across various combinations. This analysis advises the manufacturer to increase its distribution i) in the urban and semi-urban markets (but not in the rural markets); ii) to the dealers (but not to the institutional buyers); and iii) of the premium product except in the urban market (but not of the non-premium product), to boost its revenue.

Given the distribution alignment strategy developed based on Study 2, we attempt to quantify the impact of its implementation on manufacturer profitability and intermediary satisfaction (i.e., our second research objective). We achieve this by a regional field study (labeled as Study 3). Study 3 suggests that the recommended alignment (from Study 2) boosts the manufacturer's profit by 13%, and intermediaries' satisfaction by 7.71%.

We contribute to the literature by developing an implementable and effective intermediary management strategy that emerging market manufacturers can use to boost their profitability and intermediary satisfaction. Our recommended approach has the flexibility of allowing manufacturers to effectively manage their intermediaries across multiple markets, intermediaries, and product types. By doing so, the paper shows that increased attention must be directed to managing intermediaries through implementable and effective strategies other than those outlined in the distribution channel literature. Further, the paper shows that along with the existing relational governance strategies (e.g.,

⁴ Examples of construction products include, but are not limited to, asbestos, cement, and plaster materials.

offering tangible and intangible benefits ([Heide 1994](#); [Chatterji, Cunningham and Joseph 2019](#))), realigning intermediaries with the product and market types can be a sustainable strategy for increasing profitability ([Palmatier et al. 2006](#)).

Besides, we show that even when there are multiple layers (such as various intermediaries, markets, products, etc.), the GVA model can explain the effect of the suggested relational governance strategies (i.e., the alignment at the intermediaries, products, and market levels). Thus, we extend the GVA model's scope and open the door for future research in this space. Moreover, our Study 3 contributes to the extant literature ([Geyskens, Steenkamp and Kumar 1999](#)) by showing that the field implementation of empirical results is critical not only to verify empirical findings but also to help manufacturers improve their performance and intermediaries' satisfaction. Finally, as regards to marketing strategy and practice, we contribute by demonstrating that manufacturers should not require all intermediaries to distribute all types of products in every market. Managers should understand and evaluate the market-intermediary-product level demand first and decide how to distribute their products accordingly.

Literature Review

This section aims to provide a brief overview of the literature on retail distribution strategies, channel governance, emerging markets, and the theoretical lens that we lean on to link the channel governance to manufacturer performance and intermediary satisfaction. Moreover, we provide a distinct understanding of how we contribute to the existing literature on distribution channels, governance, and intermediary satisfaction.

Representative Research on Retail Distribution Strategies

Extant literature on retail distribution investigated how manufacturers have concentrated mainly on building and implementing effective distribution strategies to achieve profitability ([Kumar, Sunder and Sharma 2015](#); [Kamakura, Kopalle and Lehmann 2014](#); [Krafft et al. 2015](#)). Within this

stream of research, multiple advancements have been made to understand various aspects of manufacturer-intermediary relationships. Accordingly, numerous meta-analysis papers have been developed in this space.

Krafft et al. (2015) looked at the evolution of marketing channel research methodologies and suggested that longitudinal design and experimental research backed by qualitative research are required to uncover unknown facets of manufacturer-intermediary relations, most importantly, how manufacturers can effectively align intermediaries with product and market types to increase profitability and intermediaries' satisfaction. Accordingly, we build on the future outlook offered by Krafft et al. (2015). Specifically, we use a multi-study approach (qualitative; empirical using longitudinal data; experimental through field implementation) to identify which channel strategies can benefit both manufacturers and intermediaries.

Kamakura, Kopalle, and Lehmann (2014) identified essential topics in retail channel research that need further examination, including channel co-ordination and data-driven distribution, to improve profitability and shareholder value. Additionally, they advocated for managerial ability to implement the insights from empirical generalizations. We contribute to the findings of Kamakura, Kopalle, and Lehmann (2014) by using a data-driven approach to identify that alignment can improve the profitability of manufacturers and benefit intermediaries. Moreover, we show how managers can implement the findings of an empirical investigation and realize the effects of the insights gained through a field implementation.

Watson IV et al. (2015) explored the marketing channels' evolution to identify trends and research directions. They recognized that two critical decisions must be made concerning distribution channel strategies: channel selection (Lilien 1979) and channel governance (Heide 1994). In response to the insights offered by Watson IV et al. (2015), we contribute to the literature by identifying and examining another dimension of relational channel governance strategy – aligning intermediaries with

the product and market types. Consistent with the extant distribution literature, our research falls into the interaction of channel governance and emerging markets.

Managing Channel Governance and Intermediary Satisfaction

The extant literature in channel governance ([Krafft et al. 2015](#); [Watson IV et al. 2015](#)) suggests that determining the appropriate channels to go to market is vital to increase the marketing mix effectiveness ([Jeuland and Shugan 1988](#)). Most manufacturers strategically decide on the types, numbers, and the differences of channels coexisting in the market ([Coughlan et al. 2006](#)).

Post channel selection, channel governance also includes the mechanism where a manufacturer must decide how to govern its exchanges with the intermediaries. Governance options range from formal (explicitly defined contractual obligations) governance structure to informal (verbal agreements) governance structure ([Heide 1994](#)). As regards channel governance strategies, a manufacturer has multiple options: *coercion* ([Gaski and Nevin 1985](#); [Gilliland, Bello and Gundlach 2010](#)); *incentives and monitoring* ([Gilliland and Kim 2014](#); [Kashyap, Antia and Frazier 2012](#)); *relational governance* ([Arnold and Palmatier 2012](#); [Jap and Ganesan 2000](#)); and *idiosyncratic investments* ([Ganesan 1994](#)). Further, linking governance to performance, the extant literature has investigated how established inter-organizational relationships can shape choice and performance ([Elfenbein and Zenger 2014](#); [Gulati 1995](#); [Holloway and Parmigiani 2016](#); [Chatterji, Cunningham and Joseph 2019](#)).

Extant literature on channel governance also emphasizes managing intermediary satisfaction and considers it an essential aspect of channel management strategies. Many studies addressing intermediary satisfaction have found that such satisfaction is likely to lead to the long-term continuance of a relationship and is positively related to intermediary performance and commitment ([Zineldin and Jonsson 2000](#)). Our paper supplies the insights that have to date been lacking in the literature about how a manufacturer's action can help increase intermediary satisfaction ([Gassenheimer and Ramsey 1994](#); [Kalaighnam, Shankar and Varadarajan 2007](#)). To the existing

literature on intermediary satisfaction, we show how a manufacturer's actions in aligning intermediaries, products, and markets help increase intermediary satisfaction.

Channel Governance and Manufacturer Performance – Theoretical Background

Extant literature has provided multiple conceptual frameworks to illustrate the relevance of channel governance strategies. However, the prominent among them is the governance value analysis (GVA) framework (Ghosh and John, 1995). Accordingly, we rely on the insights of the GVA framework as our theoretical lens, as explained subsequently, in the 'theoretical background' section to expose how alignment at the intermediary, product, and market-levels may affect manufacturers' performance. Here, we briefly introduce the GVA framework.

The GVA model is proposed based on a combined understanding of economizing calculus of transaction-costs analysis and firms' resource-based view. It suggests that "firm-specific resource endowments drive realized positioning to develop a strategizing calculus that posits a discriminating three-way fit among (1) resources, (2) specific investments, and (3) governance that yields the highest net receipts." (Ghosh and John, 2005, pg. 347). In the GVA model, *positioning* captures the delivery of value proposition to the partners (i.e., intermediaries) by the manufacturers ([Chung, Chatterjee and Sengupta 2012](#)); *resources* refer to a firm's assets and capabilities that create value; *specific investments* refer to investments by different parties (e.g., a manufacturer and an intermediary) that create mutual values and safeguard joint value created; and *governance* refers to the type of relationship between the parties. A manufacturer's selection of resources and specific investment backed by proper governance mechanisms can enhance channel performance by increasing manufacturers' commitment to a seller ([Anderson and Weitz 1992](#)).

Consistent with the GVA framework and our proposed alignment strategies, it is crucial to understand what 'alignment' means. The term 'alignment' refers to the extent to which there is a goal congruence between a manufacturer's and an intermediary's self-interest (in our context). The

alignment also refers to the complementary resources and capabilities among actors in a relationship that helps actors to create shared values ([Jap 1999](#); [Anderson and Narayandas 2009](#); [Narus and Donath 2009](#)). Research exposing alignment considers the alignment of perspectives between dealers and a company and how such an alignment help achieve dealer satisfaction and commitment ([Venkatraman and Prescott 1990](#); [Anisimova and Mavondo 2014](#)). However, investigation of alignment at three levels - intermediary, product, and market - is rare.

Managing Channel Intermediaries in Emerging Markets

Managing intermediaries is complicated for emerging market manufacturers for reasons such as i) there exist a large number of intermediaries with various focuses, ii) customers are heterogeneous in their needs, iii) distribution is difficult due to infrastructural issues, etc. Thus, there is a growing body of literature studying channel strategies in emerging markets.

Restricted access to capital, foreign exchange, technology development, and restrictions on market entry characterize emerging markets; thus, the number of organized manufacturers in emerging markets is fewer. However, these manufacturers utilize a large number of intermediaries ([Stem and Adel 1988](#)) due to low entry barriers, the emergence of the middle class, changes in population structure, and demand-supply conditions ([Zikmund, D'Amico and Prough 1984](#)). As demand-supply conditions in an economy affect channel distribution and the degree of exchange relationships, the nature of the economy should influence a manufacturer's channel governance strategies. Due to market-specific differences, strategies used to manage intermediaries in developed economies may not hold in emerging markets ([Frazier, Gill and Kale 1989](#)).

In the context of emerging markets, the extant literature has investigated multiple elements of the behavior of intermediaries concerning a manufacturer ([Anderson and Narus 1984](#)), such as dependence and reciprocal actions in the distribution channel relationship and the conditions under which manufacturers can achieve competitive advantages due to such a reliance ([Brown, Lusch and](#)

[Muehling 1983](#); [Frazier 1983](#); [Emerson 1962](#); [Frazier, Gill and Kale 1989](#)). Venkatesan et al. ([2015](#)) investigated distribution channel strategies in both full and self-service channels in one emerging economy. They have evaluated how a brand's marketing mix influences channel partners and consumer sales. Kumar et al. ([2015](#)) investigated how a firm can leverage distribution to maximize sales in an emerging market context. They found that not all products can be suitably sold through every retail store format; that is, store format and product form must be aligned. Sharma, Kumar, and Cosguner ([2019](#)) investigated manufacturer competition at the product form and store format-level and showed that a firm could maximize its profit by managing the number of stores in the various store formats for different product forms. However, unlike Sharma et al. (2019), the current study considers intermediary management at the market and product type level.

Further, neither Kumar et al. ([2015](#)) nor Sharma et al. (2019) validates the profit implications of their recommended distribution strategies in the field, unlike the current study. As discussed, intermediary research in the emerging market context offers a limited understanding of how implementable relational governance strategies can be developed to enhance manufacturer profit and intermediary satisfaction. Hence, our study fills this critical gap. Table 1 sets out the representative research in channel management, especially in the context of manufacturer-intermediary relationships, and showcases how we contribute to the existing literature. Our unique contribution lies in capturing manufacturers' intermediary management strategies when a manufacturer manages multiple -products, multi-intermediaries, and multi-markets.

Table 1: Related Literature, Research Gap and Unique Contributions of our Study

Paper	Context	Single study/multi study^	Performance of manufacturers /intermediaries	Multi-product type	Multi-intermediary type	Multi-market type	Channel intermediary satisfaction	Alignment of channel intermediaries	Field implementation	Contributions
Sharma et al.(2019)	Emerging Market	Single Study	Yes	Yes	No	No	No	No	No	They investigate the oligopolistic “competition at the brand, product form, and channel” level.
Kumar, et al. (2015)	Emerging Market	Single Study	Yes	Yes	No	No	No	Yes	No	They investigate how a firm can leverage distribution to maximize sales.
Gassenheimer and Ramsey (1994)	Develop Market	Single Study	No	No	No	No	Yes	No	No	They examine the “level of mutual dependence and power-dependence imbalances across buyer (reseller) supply sources”.
Kumar, Scheer, and Steenkamp (1995)	Develop Market	Single Study	No	No	No	No	No	No	No	They “propose that the degree of both interdependence asymmetry and total interdependence affect the level of inter-firm conflict, trust, and commitment”.
“Frazier, Gill, and Kale (1989)	Emerging Market	Single Study	No	No	No	No	Yes	No	No	They “expand the understanding of the dependence and reciprocal action constructs in distribution channel relationships”.
Brown, Lusch, and Nicholson (1995)	Develop Market	Single Study	Yes	No	No	No	Yes	No	No	They investigate the “impact of supplier's use of power on the retailer’s commitment to the channel relationship and supplier and retailer performance”.
Skinner, Gassenheimer , and Kelley (1992)	Develop Market	Single Study	No	No	No	No	Yes	No	No	They find that the conflict in a supplier-dealer relationship reduces satisfaction.
Frazier (1983)	Develop Market	Single Study	No	No	No	No	Yes	No	No	Dealer dependence relates “positively to an inter-firm agreement on marketing strategy”, dealer satisfaction, and the manufacturer's perceived interest in the dealer's welfare.
Geyskens, Steenkamp, and Kumar (1999)	NA	NA	No	No	No	No	Yes	No	No	They provide a conceptual model of channel member satisfaction using meta-analysis.
Lewis and Lambert (1991)	Develop Market	Single Study	Yes	No	No	No	Yes	No	No	They present a model of the interrelationships between intermediary satisfaction, performance, and dependence.
Our Study	Emerging Market	Multi-Study	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Various intermediary-product-market combinations have differential impacts on the manufacturer's performance. The alignment of intermediaries across different combinations increases both manufacturer profit and intermediary satisfaction.

^if the paper uses one study or multiple studies to arrive at its main conclusions.

A Comprehensive Analysis of the Role of Intermediaries in Manufacturer Performance

Given the dearth of research investigating implementable strategies to increase manufacturers' profitability by managing intermediaries, we directly contact manufacturers and intermediaries to understand what they think can be done to fulfill the dual goal of increasing manufacturers' profitability and intermediaries' satisfaction, as discussed in Study 1.

Study 1 (Qualitative)

The qualitative study aims to identify strategies that might help manufacturers increase profitability and intermediary satisfaction. With qualitative research, we attempted to generate themes to understand the required strategies ([Corley and Gioia 2011](#)). We conducted "theoretical sampling" ([Breckenridge and Jones 2009](#)) to identify and recruit managers and intermediaries. Our selected respondents come from four industries (construction products, fast-moving consumer goods (FMCG), heavy machinery, and automobiles). The data for the qualitative study is collected in nine months.

For the recruitment of managers, we initially contacted⁵ 60 managers⁶. A positive response was received from 29 (of the 60), to whom we have applied three further screening criteria: 1) responsibility for managing intermediaries and, preferably, direct relationships (e.g., meeting, visiting, etc.) with the same; 2) at least 15 years' experience in managing a portfolio of intermediaries, and 3) have the experience of operating in one or more emerging markets. Further, we have tested the managers' domain knowledge with two more global questions: 1) tenure of their work with their current portfolio of intermediaries, and 2) tenure of being responsible for managing intermediaries in emerging markets. This approach helped us select proper informants ([Kumar, Stern and Anderson](#)

⁵ We contacted potential respondents by phone and email.

⁶ To contact managers, we used information from three sources: (1) industry references suggested by two of the authors; (2) participants in an executive program in two premier business schools in India, and (3) references for alumni furnished by these two institutions.

[1993; Sharma et al. 2020](#)). After applying these additional criteria, we ended up with 24 managers⁷ who participated in the qualitative interviews.

As part of the selection process, we ensured that the intermediaries are dealing/distributing/wholesaling a specific manufacturer's products by screening the contract/agreement/informal consent papers between the parties. We also confirmed this information with the manufacturers. We have obtained the list⁸ of intermediaries from 6 different manufacturers and also used the industry references of one of the authors⁹. We finally ended up with 29 intermediaries based in India, of which 10, 9, 5, and 5 represented the construction products, FMCG, heavy machinery, and automobile industries, respectively. We note that 23 respondents spoke English, and 6 respondents were recorded in Hindi and translated into English.

Data collection and analysis

After obtaining the managers' and intermediaries' consent, we developed the interview protocol and recorded the respondents' comments, having assured them that confidentiality would be maintained. We conducted semi-structured interviews ([Gioia, Corley and Hamilton 2013](#)). The interview protocols were modified to capture real-time responses and various emerging consensus¹⁰ ([Arsel 2017](#)). A memo for each was prepared after one author and two independent coders separately evaluated all the interviews. Further, they prepared themes considering the codes in the memo, compared them, and resolved any disagreements through discussion. We re-evaluated the themes on an ongoing basis through regular meetings ([Holloway and Beatty 2003; Besharov and Smith 2014; Borah, Prakhya and Sharma 2019](#)).

⁷ Of these, 72% were at the senior level (e.g., senior vice presidents, vice presidents, general managers, deputy general managers, senior managers), and 28% were at mid-level (e.g., managers and deputy managers). Our sample contained representatives from multiple countries, including India, Bangladesh, and Indonesia, comprising five, twelve, three, and four managers from the construction products, FMCG, heavy machinery, and automobile industries, respectively.

⁸ The acquired list contained the business contact details of the proprietor, such as a dealer.

⁹ We have contacted 150 intermediaries and have obtained a positive response from 42. Even though we promised complete confidentiality, 10 intermediaries did not respond. Further, initial screening has forced us to drop 3 intermediaries, as they have not submitted the proper documents.

¹⁰ For example, after interviewing five intermediaries, we realized that intermediaries were not satisfied with manufacturers even when the latter provide tangible (e.g., discount) and intangible (e.g., a foreign trip) benefits. This dissatisfaction was due to manufacturers' lack of rational behavior in many contexts (e.g., asking intermediaries to increase sales without a proper understanding of demand).

To ensure clarity in the coding strategies, we used template analysis ([King 2012](#)) and first-order coding that uses raw data and allows us to create conceptual categories from the data ([Miles, Huberman and Saldaña 2014](#)). We discovered vital data patterns using first-order coding ([Marshall and Rossman 2014](#); [Miles, Huberman and Saldaña 2014](#)). We relied on second-order coding (which consisted of various combinations of first-order coding ([Braun and Clarke 2013](#))) to generate themes representing the relationships with our research questions.

Reliability and Validity

Checking reliability and validity is a critical component of qualitative research. We used an innovative multi-step approach to test reliability and validity. In the first step, for those manufacturers with more than one respondent, we matched insights across respondents¹¹ (Sharma et al. 2020). Second, we verified the insights for those organizations represented by a single respondent by interacting with the firm. Third, reliability was established by matching the themes generated by the author and the independent coders. With inter-coder reliability of more than 94.33%, we achieved reliability. We presented our findings to five managers and six intermediaries from other industries (that is, industries not included in our study), who were asked to comment on our findings ([Birt et al. 2016](#)). We found that most of our themes were considered to be accurate, showcasing the validity of our findings.

Identifying what a manufacturer may do to manage intermediaries

As part of the protocol, we asked a few open-ended questions to the participating managers:

1) Are intermediaries important for your business? Do you have any specific intermediary management strategies (e.g., pay, trips, incentives, discounts, etc.)?; 2) Do intermediaries help you design strategies?; and 3) What do you think can be done to manage intermediaries?

¹¹ Within the industry, we found matched ideas, whereas we observed heterogeneity in insights across industry sectors. Such heterogeneity is possible as manufacturer-intermediary relationships have different characteristics across industries; for example, the way a relationship works in FMCG may not be the same in the construction products industry.

Managers agreed that managing intermediaries are critical in rising competitive emerging markets. Citing the discussion in her board meeting, one respondent noted: *“We have been talking about creating something new to manage our dealers. However, so far, we are relying on the same old strategies: trips and discounts”* (FMCG industry). Discussing his ten years of direct relationships with channel intermediaries, one of the respondents from the heavy machinery industry mentioned that: *“Dealers and distributors are very important to our business. We struggle to manage them and see significant attrition as well as lack of exclusiveness. We increased the incentives, which also made us increase pressure. We so far did not see any significant improvement in our business”*. A respondent from the automobile industry informed us that: *“While managing dealers is very important for us, in many cases, dealers try to negotiate the profit we offer. From context to context, we do compromise, but not on every occasion. This makes them unsupportive. We have lost a few as they could not reach the sales target.”*

Further, one respondent mentioned that: *“It is none of my business how they increase sales. Some of them sell products from other manufacturers. I tried to offer them a higher discount, but this does not work all the time”* (FMCG industry). Regarding the strategies implemented for intermediary management, one respondent informed us: *“We do not have specific strategies to manage intermediaries apart from incentivizing them for their performance. But the market is changing, and we may not be in benefits if we do not adopt more effective strategies”* (heavy machinery). Hence, the first theme from the qualitative study was **the lack of proper intermediary management strategies**.

Commenting on whether intermediaries help design strategies for effective management, a respondent from the construction product industry mentioned that: *“Dealers helped me to identify what products go where. We had a mega-market share after following their advice.”* Another manager responded: *“Dealers, distributors, wholesalers, most of the time do not want to overstock although we push it. Many times, distributors complained, stating that they cannot distribute as per the target as there is no demand in his/her area. This is an indicator that the distributor is showing the problem in the distribution strategies. However, these insights are not*

fact/data-driven; therefore, we do not entertain this type of insights” (FMCG industry). Supporting the notion that intermediaries are the information providers regarding what manufacturers should do to gain business from them, one respondent informed us: *“Two years ago, multiple dealers from a specific area informed us to supply more of a specific product and less of another product. We did not follow their suggestions and experienced de-growth in sales. After investigation, we could learn that there was a shift in the market they were operating, and they could sense the demand. Because of our decisions, all the dealers in the specified region became dissatisfied, and we saw a 4.6% decrease in sales and a 14% attrition of dealers.”* Hence, the second theme we learn was: **intermediaries provide critical insights that manufacturers largely overlook.**

Coming to the responses to our question regarding what managers think can be done to effectively manage intermediaries in such a way that a manufacturer’s profit increases and intermediaries are satisfied, one senior manager informed us: *“We tried to research the market and could find that some dealers in some markets sell our low-priced product heavily and not premier product. This made us think if we only advise them to deal with the low-priced product such that they have enough inventory, could suffice the market demand, less costs involved in storage, and distribute more. Could not implement it as top management was not ready”* (construction product industry). Another respondent noted: *“I think there is a need to understand what they can sell perfectly over what they cannot. This is lacking in our strategies”* (construction product industry). Citing the relevance of data-driven dealer management strategies, one respondent said: *“We lack understanding of what should be distributed and how. We have comprehensive distribution strategies where each intermediary deals with each product we offer. This is good. But, what if a specific product category do not have required market demand. It is obvious that the dealers will be mad as they lose business. One of the ways this can be handled is identifying what goes where - which dealer should deal with what product category. This may be complex but can have very productive dealer management strategies”* (construction product industry). Another manager from the automobile industry supported this notion: *“Days are gone where we could have coercion with our channel members. We are also not in the days where a formal contract can give us success. We can only be able to increase profits*

if we understand the intermediaries, develop relational governance where we can suggest to them what to do, and make sure they are satisfied and making profits for themselves.” Finally, citing his own company, one respondent noted: *“Reallocating resources across channels is not an active strategy in my company. However, it is critical to align resources dynamically so that we can suggest what to do when to the intermediaries”* (FMCG). Hence, the third theme here was that **managers believe that a form of alignment of products with the intermediary types can help increase manufacturers’ profit and intermediaries’ satisfaction.**

Identifying how intermediaries think they can be managed better

Similar to the managers, as part of the protocol, we asked a few open-ended questions to the participating intermediaries: 1) How do manufacturers help you increase sales and customer demand? and 2) In addition to the existing support to increase sales offered by the manufacturers, what do you see as a major strategy that can help you increase sales?

An intermediary dealing with construction products responded to our first question by stating: *“Manufacturers push all the products. However, the market I operate in does not accept all types of products. Manufacturers do not have an understanding of the fit of the product with the market. This does not help increase sales; rather, my business is heavily affected. They advertise products to increase demand. But it is not always advertising; the company should also look at the customers I have, their preferences, lifestyle, to increase sales”*. Another intermediary dealing with FMCG products noted: *“Manufacturers offer various incentives: cash, trip, products (cell phone, TV, etc.). I do not get them as I cannot reach the target they ask for. If there is no customer for the product, how can I distribute more? Retailers that I work with come and complain to me, return the products. The incentives are meaningless for me”*. We also got to know that price and incentives do not play a big role as an intermediary can get similar price from the competing companies. An FMCG intermediary mentioned, *“I have offers for the same price from the competing manufacturers.”*

In response to our question regarding additional strategies that manufacturers can adopt to manage intermediaries, one respondent informed us: *“My motivation to push [X] company products is very*

much affected by the push I get. The company should know what the market is looking for. Just developing products and pushing me to sell a bad (high priced or bad performance product) will not help. The company should learn where the alignment is” (construction product industry). In contrast, an automobile dealer noted: “Our company has distinctive strategies for me. They check the demand and accordingly adjust the price for the products with the market. I sold 23% more cars in the last month (never thought of it). This alignment understanding is important for the company’s performance and my values and satisfaction”.

Based on these responses, we learned that the satisfaction of intermediaries is essential. Any strategies that can influence such satisfaction should be implemented by the manufacturers, as can also be seen from one respondent’s comment about construction products: *“I don’t see company values my satisfaction. The salesperson comes and asks for the target. Unless I am happy, it is difficult to be motivated. The company needs to tell me what to sell to whom and when. If my business is down next quarter, I will take the dealership of another company”.*

Text Analysis

In addition to the template analysis, we conducted a text analysis exercise to deepen the qualitative study’s insights. In an organizational setting, deriving values from unstructured textual data is critical as it can provide much-needed information that is not available in structured data ([Müller et al. 2016](#)). Information extracted from the textual data is valuable for a range of enterprise applications and informed decision-making. Text analytics helps support insights from unstructured data, as well as from qualitative data. In our context, the use of text analytics is relevant not only to validate the insights gained from template analysis of qualitative data but also to identify potential economic value lying untapped, as revealed in the comments of the managers and intermediaries ([Ittoo and van den Bosch 2016](#); [Abbas et al. 2018](#)).

Given the importance of text analytics in our context, we analyzed the response of each manager and intermediary to each question and presented the insights for each question in terms of

proximity plots¹² (used to represent the distance from one or several keywords to others); a dendrogram (showing the hierarchical clustering that identifies themes); link analysis (a technique to evaluate the connections or relationships among words using force-based graphs, multidimensional scaling, or circular graphs (nodes in a network of words))¹³, and a frequency table (which shows the frequency with which each keyword is used in the comments on each question in our data). We used WordStat for Stata, which allows text analytics techniques to be applied to any string variable stored in a Stata file¹⁴.

Text analytics of the responses to the question “What do you think can be done to manage channel intermediaries?” shows that the keywords are *alignment*, *market*, *products*, *dealers*, and *level*; alignment is linked to products and market with values of .947 and .583, respectively, in the link analysis (see WA Figure 1 Panel A for link analysis; Panel B for dendrogram; Panel C for proximity plot). WA Table A1, showing the frequency occurrence of the keywords, clearly reveals that the alignment of intermediaries with the product and market types is considered to be a profitable strategy by managers. In response to the questions, “Are intermediaries important for your business? Are there any specific intermediary management strategies you have (e.g., pay, trips, incentive, discount, etc.)?”, the keyword *lack* is associated with *tools* and *strategies* with values of .524 and .476, respectively (see WA Figure 2 Panel A for link analysis; Panel B for dendrogram). These insights support those derived from template analysis, where we find that manufacturers lack proper intermediary management strategies.

Text analysis of the responses to intermediary questions regarding how manufacturers keep intermediaries motivated to increase sales shows that manufacturers provide benefits in the form of trips, products, incentives, and luxury gifts (see WA Figure 3 Panel A for link analysis; Panel B for

¹² <https://provalisresearch.com/products/content-analysis-software/wordstat-screenshots/>

¹³ <https://www.sciencedirect.com/topics/computer-science/link-analysis>

¹⁴ <https://provalisresearch.com/products/content-analysis-software/wordstat-for-stata/>

dendrogram; WA Table A2 for frequency count). Similarly, analysis of responses to the question “What do you see as a major strategy that can help you increase sales?” shows that alignment with markets and products may help intermediaries to improve their performance and impact manufacturers’ performance (see WA Figure 4 Panel A for link analysis; Panel B for dendrogram; Panel C for proximity plot; WA Table A3 for frequency count). Again, the text analysis of intermediary responses provides insights that are consistent with the findings of the template analysis.¹⁵

Summary of the qualitative study: The qualitative research (based on both the template analysis and text analytics) yielded three significant insights. First, insights from the managers suggest that it is crucial to managing intermediaries to boost performance. While managers acknowledge that they do not have any distinct strategies to manage intermediaries, they emphasize that some form of alignment at the intermediary-, product-, and market-type levels may be beneficial to both manufacturers and intermediaries. Second, intermediaries think that manufacturers must dynamically know what to sell, where to sell, and through whom to trade. Intermediaries expect strategic advice about the alignment that can impact both manufacturers and themselves. Finally, intermediary satisfaction is a critical result of intermediary management strategies, and manufacturers should attempt to implement policies that can increase such satisfaction to improve their long-term profits. While not all findings from Study 1 are novel as literature is clear that intermediaries need to be managed to boost performance, about co-ordination of selling efforts, and about intermediary satisfaction; the novel insight is about the strategies (i.e., aligning products and markets with the intermediaries) that a manufacturer should follow to enhance its profitability and intermediary satisfaction.

Theoretical Background

¹⁵ We would like to thank an anonymous reviewer for directing us to use text analysis tools along with template analysis in our Study 1.

We build on Ghosh and John's (1999) GVA model to argue that alignment may be a profitable strategy. GVA model emphasizes value maximization and cost minimization in an inter-organizational relationship (e.g., manufacturer-intermediary) ([Chung, Chatterjee and Sengupta 2012](#)) by positioning a "three-way fit among (1) resources, (2) specific investments, and (3) governance that yields the highest net receipts." (Ghosh and John, 2005, pg. 347). GVA framework shows the necessity of alignment of resources, investment, and governance that may affect the performance of an exchange relationship (i.e., manufacturer-intermediary). Every organization forms goals; such goal setting and achievement of the same need resources, investments, and governance. GVA model allows us to theorize the goal setting and performance (i.e., manufacturer profitability and intermediary satisfaction) by aligning resources, investment, and governance.

When it comes to manufacturer-intermediary relationships, it is well known that a firm with a higher profit motivation attempts to devise strategies that can be helpful for shared value, regardless of power and resource differentials. The nature of the governance dictates the value that a manufacturer may obtain from intermediaries, which is the essence of the GVA model. Appropriate governance not only supports the profit agenda of the manufacturer but also increases the intermediaries' performance, creating current and future joint values ([Williamson 1996](#); [Ghosh and John 2005](#)). Profit-motivated firms not only undertake value-creating investments (e.g., developing valued products, having geographical reach and diversification, competitive pricing, relationship with channel partners, etc.) but also engage in value-claiming activities (e.g., suggestions for doing business in specific ways that can increase value) ([Jap 2001](#)) backed by robust governance (e.g., a healthy relationship). However, to maximize the benefits of the resources, a firm should have specific investment and governance strategies.

In our context, manufacturers own various resources, including products, operations in multiple markets, and intermediaries. These intermediaries provide a manufacturer with much-needed

insights about the market, as reflected in the qualitative study. Under healthy governance, if the specific investment by manufacturers is directed towards understanding the capability of intermediaries to sell certain products in certain markets effectively (which is related to the value gained from the governance), a manufacturer's profit motive may be successful. Such values (in the form of alignment and resource contributions) on the part of manufacturers result in information-sharing, trust, and credibility, thereby reducing monitoring, coordinating, and enforcement costs and increasing manufacturer profitability (Chung et al., 2012). This is critical as a manufacturer deals with various product and market types, which each intermediary may not be able to deal with effectively.

Further, as the natures of products, markets, and intermediaries are different, their alignment might have heterogeneous effects on manufacturers' profit ([Nickerson, Hamilton and Wada 2001](#); [Ghosh and John 1999](#)). Moreover, when a manufacturer manages multi-product, multi-market, and multi-intermediary set-up, an alignment can help govern the exchange relationships such that resources are properly utilized, and specific investments are directed towards achieving the goals. Hence, building on the GVA model's tenets, we argue that the alignment of intermediaries with product and market types is expected to have differential effects on a manufacturer's profitability. However, given the scarcity of empirical evidence regarding the impact of alignment on manufacturers' profitability, in Study 2, we empirically explore the potential relationship between the alignment of intermediaries with the market and product types that may affect manufacturers' profit.

Study 2: Empirical Investigation

Study 1 suggests, and the GVA model supports that the distribution alignment of the intermediary (such as dealer, retailer, institutional buyer, etc.), product (such as premium vs. non-premium), and market types (such as urban, rural vs. semi-urban, etc.) may benefit a manufacturer and its intermediaries. Hence, in Study 2, we link various combinations of intermediary, product, and market types to the manufacturer's profitability through an empirical investigation.

Data

We use data from a construction product manufacturer operating in India that distributes its products through two types of intermediaries: dealers and institutional buyers. We observe intermediaries that are located in three market types: urban, rural, and semi-urban. Further, the intermediaries deal with two product types with the same functionality: a premium product, which has a premium price and quality; and a non-premium product, which has a lower price and quality. The data has information about the number of dealers and institutional buyers that the manufacturer manages in each market and the types of products each intermediary deals with over 37 months (April 2016 to April 2019). We also observe information about the manufacturer's monthly revenue for each combination of intermediary, product, and market type¹⁶.

Further, we obtain information on the total monthly units of competing products in the market distributed by the competitors, monthly monetary discounts offered by the manufacturer to its intermediaries, and monthly product prices (for both premium and non-premium products). Also, we are provided (by the manufacturer) the average monthly variable costs of the raw materials used for production. We collect additional information on India's GDP growth, the consumption expenditure of customers, diesel prices, and the length of railroads in India. Table 2 provides the descriptive statistics (mean and standard deviation in parenthesis) of the distribution levels; revenues (in millions); average discounts offered by the manufacturer (per intermediary); and price of the construction products (per ton) across various combinations of the market, intermediary, and product types in our data. We also include two additional industry-specific variables: electricity use and fuel (e.g., coal, gas) consumption as additional control variables.

Table 2: Descriptive Statistics

Market	Intermediary Type	Product	Distribution	Revenue (in millions)	Discount[^]	Price (per ton)
Urban	Dealer	Premium	9894 (4754)	594.51 (283.81)	3946 (953)	6440 (1074)
Urban	Dealer	Non-premium	11975 (3170)	763.93 (209.18)	4519 (1130)	5988 (1000)

¹⁶ We observe 37 months of revenue of 12 market-intermediary-product combinations. Hence, our estimation sample has $37 \times 12 = 444$ observations.

Urban	Institutional Buyer	Premium	53 (59)	5.65 (6.57)	0 (0)	4778 (1231)
Urban	Institutional Buyer	Non-premium	2804 (1374)	267.48 (136.2)	0 (0)	4848 (821)
Rural	Dealer	Premium	5015 (1963)	254.91 (105.0)	3330 (975)	6309 (1052)
Rural	Dealer	Non-premium	6106 (1417)	311.93 (78.4)	3666 (1133)	5886 (984)
Rural	Institutional Buyer	Premium	295 (276)	31.67 (30.8)	0 (0)	4585 (805)
Rural	Institutional Buyer	Non-premium	3722 (977)	310.55 (77.4)	0 (0)	4725 (794)
Semi-Urban	Dealer	Premium	6636 (2049)	477.35 (152.6)	4495 (1252)	6501 (1085)
Semi-Urban	Dealer	Non-premium	6115 (1435)	407.77 (108.5)	4614 (1376)	6026 (1007)
Semi-Urban	Institutional Buyer	Premium	662 (559)	66.13 (55.2)	0 (0)	4384 (980)
Semi-Urban	Institutional Buyer	Non-premium	3027 (779)	312.83 (80.9)	0 (0)	4695 (838)

Note: The numbers in the parentheses are the standard deviation. ^calculated based on average quantity (tons) of products dealt with.

Model

With the observed data, to understand the role of intermediaries on manufacturer revenue, we use a linear regression framework to model the focal manufacturer's monthly revenue (in a million Rupees) for each product type (premium and non-premium) within each market (urban, rural, and semi-urban), and intermediary type (dealers and institutional buyers) as a function of both the focal and the competing product's i) distribution level (number of intermediaries); ii) average monthly discount offered per intermediary by the manufacturer; and iii) additional controls, specifically month dummies, GDP growth in India, consumption expenditure in India (in billion Rupees), competing manufacturers' total product distribution in the corresponding market-intermediary combination (in millions), electricity used, and fuel consumption.

Since it is critical to understand the revenue asymmetries among different market-, intermediary-, and product-type combinations, we use market-channel intermediary-product fixed effects (urban, rural, semi-urban markets x dealers, institutional buyers x premium product, non-premium product = 12 fixed effects). These fixed effects inherently capture the quality of the products along with the attractiveness of markets and intermediary types for consumers¹⁷.

Further, since our focus of interest is to understand the asymmetries in the effectiveness of distribution in each market-channel intermediary-product combination, we allow the corresponding

¹⁷ We also estimate a specification with dummies for market type (urban and rural), premium product, and dealer channel. The proposed specification with market-intermediary-product fixed effects outperforms this alternative specification based on the R² criteria.

response parameter to be combination-specific as well. Consequently, our implementation allows us to capture heterogeneity not only in the baseline revenues (through our fixed effect specification) but also in the revenue response to distribution (through market-intermediary-product-specific response parameters). Accordingly, our regression equation becomes the following:

$$Revenue_{m,c,j,t} = \alpha_{m,c,j} + \beta_{m,c,j} Distribution_{m,c,j,t} + \gamma X_{m,c,j,t} + \varepsilon_{m,c,j,t}, \quad (1)$$

where $m = \{\text{urban, rural, semi-urban}\}$, $c = \{\text{dealer, institutional buyer}\}$, $j = \{\text{premium, non-premium}\}$, t is time/month, $Revenue_{m,c,j,t}$ (in million Rupees) and $Distribution_{m,c,j,t}$ are respectively the revenue and distribution of product j in market m through intermediary c in month t , and $X_{m,c,j,t}$ is a vector of controls including month dummies, $Store\ Discount_{m,c,j,t}$, $Distribution_{m,c,-j,t}$, $Price_{m,c,-j,t}$, $Store\ Discount_{m,c,-j,t}$ ¹⁸, $GDP\ Growth_t$, $Consumption\ Expenditure_t$ (in a billion Rupees), $Electricity\ used_t$, $Fuel\ Consumption_t$, $Distribution\ of\ Competing\ Products_t$ (in millions)¹⁹.

Endogeneity

Since the manufacturer makes marketing-mix decisions other than distribution, and these decisions are potentially correlated with the distribution decision and the outcome variable (i.e., revenue), we have a potential endogeneity problem. In other words, we may not be able to infer the magnitude of the distribution response parameters correctly without controlling for the endogeneity problem with valid instruments. Accordingly, we identify two instruments: monthly diesel price and length of railroads in India over time. Our rationale in the choice of these instruments is as follows. As diesel prices drop, the manufacturer's distribution costs are expected to decrease, implying opportunities to distribute to a larger number of intermediaries. Whereas, customers are less likely to

¹⁸ $Distribution_{m,c,-j,t}$, $Price_{m,c,-j,t}$, and $Store\ Discount_{m,c,-j,t}$ are the competing product's distribution, price and store discount, respectively.

¹⁹ We would like to note that we do not account for the price of the focal product as a control variable since our dependent variable (i.e., revenue) is a function of the focal product's price. Hence, the use of price as a control might be conceptually problematic in our setting. That being said, as we discuss in our Model Robustness Section, we estimate an alternative model with the price (after controlling for the potential price endogeneity problem) as a robustness check and find that both our proposed model and this alternative specification yields the same adjusted R^2 value of 0.996. Thus, we decide to stick to our proposed specification without the price (of the focal product) as a control. The reasoning behind the use of price as an additional control variable in the robustness analysis is that the manufacturer generates a stream of revenue from fees of the godown, contract, and freight in addition to the revenue generated from the sales of its products (that is a direct function of price). Hence, the overall revenue (i.e., our dependent variable) is not necessarily a direct function of price; rather, the price is just one of the components of the revenue calculation.

be affected in their purchase decisions by lower diesel prices, implying no significant changes in revenue levels. The use of diesel prices as an instrument to control for distribution endogeneity is also consistent with the literature ([Sharma, Kumar and Cosguner 2019](#)). Regarding our second instrument, as railroad availability increases, distribution costs are expected to decrease for the manufacturer, implying higher levels of distribution. Similar to the argument made above, it is hard to expect a significant change in revenues as the length of railroads changes. We use the control function approach ([Petrin and Train 2010](#)), whereby we run a first step regression in which we model market-intermediary-product-level distribution as a function of market-intermediary-product-level fixed effects, diesel prices, and length of railroads.

Results

The first step regression results are provided in Table 3. As can be seen, the first step regression yields an R^2 value of 0.908, suggesting that the instruments capture a significant variation in the endogenous distribution variable. Besides, we find that the coefficient for the length of railroads is highly significant. As expected, as railroads become more prevalent in India, the distribution of the products gets easier, implying an increase in distribution levels as well. That said, our results yield an insignificant relationship between diesel prices and distribution levels.

Table 3: First Step Regression (Distribution Endogeneity)

Variables	Estimates	Std. Errors
Intercept	-91.88***	26.80
Diesel Price	0.0104	0.0136
Length of Rail Lines	0.0015***	0.0004

R_Square: 0.908, Adjusted R²=0.905

Note: Estimates with ***, **, and * are significant at 1%, 5%, and 10%, respectively. Estimates and standard errors are reported in thousands. Market-intermediary-product dummies are included in the model, but not reported to save space.

We use the residuals from the first step regression as an additional variable and embed them into Equation 1 to control for the potential endogeneity of the distribution. The second step regression results are provided in Table 4. As can be seen, the results suggest that the R^2 of the regression model is 0.996, implying that our independent variables properly explain the variation in the manufacturer's

revenue over time. The results suggest that there are significant revenue asymmetries among different market-intermediary-product combinations. For example, the combination of dealer channel, urban market, and premium product (the institutional channel, semi-urban market, premium product) brings the highest (lowest) baseline revenue among all 12 combinations. Results suggest that revenues are higher during the spring season (March to June). As expected, the price of competing products has a significant positive impact on revenue. Results also suggest that the manufacturer discount to increase sales is effective in increasing revenues, and, lastly, that most of our additional controls are significant.

Table 4: Revenue Estimation with and without Price

Variables	Proposed Model		Alternative Model with Price	
	Estimates	Std. Errors	Estimates	Std. Errors
Fixed Effect–Urban/Dealer/Premium	243.5*	140.2	673.344***	242.837
Fixed Effect–Urban/Dealer/Non-Premium	217.3	157.1	614.983**	241.036
Fixed Effect–Urban/Institutional/Premium	303.6**	119	551.513***	164.569
Fixed Effect–Urban/Institutional/Non-Premium	270.6**	110.1	536.82***	164.455
Fixed Effect–Rural/Dealer/Premium	230.9**	112.9	629.244***	215.488
Fixed Effect–Rural/Dealer/Non-Premium	221.1*	116.8	584.987***	203.845
Fixed Effect–Rural/Institutional/Premium	312.7***	118.1	545.314***	159.053
Fixed Effect–Rural/Institutional/Non-Premium	345.6***	110.7	605.151***	162.560
Fixed Effect–Semi-Urban/Dealer/Premium	221.2*	119.8	643.569***	228.417
Fixed Effect–Semi-Urban/Dealer/Non-Premium	204.9*	116	582.443***	208.580
Fixed Effect–Semi-Urban/Institutional/Premium	304***	116.1	520.088***	152.355
Fixed Effect–Semi-Urban/Institutional/Non-Premium	356.6***	111.4	611.267***	161.784
February	11.89*	6.37	9.15	6.465
March	41.3***	6.426	44.126***	6.531
April	48.03***	7.442	51.573***	7.583
May	43.22***	7.649	49.459***	8.198
June	48.7***	7.674	57.259***	8.645
July	23.06***	7.779	31.039***	8.660
August	18.89**	9.162	25.422***	9.682
September	20.83**	8.285	31.165***	9.577
October	25.6***	9.506	28.422***	9.610
November	20.23**	9.990	26.629**	10.438
December	16.21*	9.536	18.553*	9.584
Price			-0.088**	0.040
Discount Per intermediary	0.012***	0.004	0.012***	0.004
Competing Product's Distribution	-0.003***	0.001	-0.003***	0.001
Competing Product's Price	0.007***	0.002	0.006***	0.002
Competing Product's Discount Per intermediary	-0.009**	0.004	-0.009**	0.004
Price Residual			0.088**	0.040
Distribution Residual	-0.003	0.013	0.001	0.013
Consumption Expenditure	-0.052	0.076	0.022	0.083
GDP Growth	-31.36***	11.130	-28.778**	11.151
Distribution of Competing Products	37.04***	13.840	43.098***	14.056
Power Used	-0.084	0.089	-0.08	0.089

Fuel	-0.193***	0.065	-0.153**	0.067
Distribution–Urban/Dealer/Premium	0.062***	0.013	0.058***	0.013
Distribution–Urban/Dealer/Non-Premium	0.066***	0.013	0.062***	0.013
Distribution–Urban/Institutional/Premium	0.102	0.077	0.102	0.077
Distribution–Urban/Institutional/Non-Premium	0.104***	0.014	0.1***	0.014
Distribution–Rural/Dealer/Premium	0.055***	0.013	0.05***	0.013
Distribution–Rural/Dealer/Non-Premium	0.054***	0.013	0.05***	0.013
Distribution–Rural/Institutional/Premium	0.088***	0.02	0.082***	0.021
Distribution–Rural/Institutional/Non-Premium	0.071***	0.014	0.066***	0.014
Distribution–Semi-Urban/Dealer/Premium	0.075***	0.013	0.071***	0.013
Distribution–Semi-Urban/Dealer/Non-Premium	0.072***	0.013	0.068***	0.013
Distribution–Semi-Urban/Institutional/Premium	0.101***	0.015	0.097***	0.015
Distribution–Semi-Urban/Institutional/Non-Premium	0.085***	0.014	0.08***	0.014
		R ² =0.996, Adjusted R ² =0.996	R ² =0.996, Adjusted R ² =0.996	

Note: Estimates with ***, **, and * are significant at 1%, 5%, and 10%, respectively.

Going back to our main focus of interest, namely the effect of distribution on revenues, we find significant asymmetries across the market, intermediary, and product types. Regarding market types, the results suggest that increasing the number of intermediaries in a rural market is less effective than doing so in either urban or semi-urban markets. Regarding intermediary types, increasing the number of institutional buyers is more effective in revenue generation than increasing the number of dealers. Lastly, regarding product types, increasing the number of intermediaries carrying the premium product brings more revenue than doing the same for the non-premium product, except in the urban market. These asymmetries in the effectiveness of distribution (across different market-intermediary-product combinations) motivated us to quantify the revenue impact of the reallocation of distribution resources across various market-intermediary-product combinations. To that end, we first predict the revenues of each market-intermediary-channel combination at the average levels of our controls. Then, we subtract one outlet from each combination and move it to the remaining combinations (one combination at a time) and calculate the predicted revenue changes. Table 5 reports the results of this exercise.

Table 5: Revenue Impact of Reallocating Distribution Resources in the Supply-side

	Urban				Rural				Semi-Urban			
	Dealer		Institutional		Dealer		Institutional		Dealer		Institutional	
	High	Low	High	Low	High	Low	High	Low	High	Low	High	Low
Impact in 1000 rupees.												

Urban Dealer Premium	0	3.7	39.5	41.8	-7.8	-8.8	25.3	8.1	12.8	9.9	39	22.2
Urban Dealer Non- Premium	-4	0	35.8	38.1	-11.6	-12.5	21.6	4.4	9.1	6.1	35.2	18.5
Urban Inst. Premium	-40	-35.8	0	2.3	-47.4	-48.4	-14.2	-31.4	-26.7	-29.7	-0.6	-17.3
Urban Inst. Non- Premium	-42	-38.1	-2.3	0	-49.7	-50.7	-16.5	-33.7	-29	-32	-2.9	-19.6
Rural Dealer Premium	8	11.6	47.4	49.7	0	-1	33.2	16	20.7	17.7	46.8	30.1
Rural Dealer Non- Premium	9	12.5	48.4	50.7	1	0	34.1	16.9	21.7	18.7	47.8	31
Rural Inst. Premium	-25	-21.6	14.2	16.5	-33.2	-34.1	0	-17.2	-12.5	-15.5	13.6	-3.1
Rural Inst. Non- Premium	-8	-4.4	31.4	33.7	-16	-16.9	17.2	0	4.7	1.8	30.8	14.1
Semi-U. Dealer Premium	-13	-9.1	26.7	29	-20.7	-21.7	12.5	-4.7	0	-3	26.1	9.4
Semi-U. Dealer Non- Premium	-10	-6.1	29.7	32	-17.7	-18.7	15.5	-1.8	3	0	29.1	12.4
Semi-U. Inst. Premium	-39	-35.2	0.6	2.9	-46.8	-47.8	-13.6	-30.8	-26.1	-29.1	0	-16.7
Semi-U. Inst. Non- Premium	-22	-18.5	17.3	19.6	-30.1	-31	3.1	-14.1	-9.4	-12.4	16.7	0

Table 5 suggests that: 1) within each intermediary-product type combination, moving one intermediary from the urban and semi-urban markets to the rural market can increase revenue by 8k to 33.7k Rupees (see blue-colored cells); 2) within each market-intermediary combination, converting the intermediary from premium-product-carrying to non-premium-product-carrying can increase revenue by -17.2k to 3.7k Rupees (see green-colored cells), and 3) within each market-product-type combination, moving from a dealership to an institutional buyer can increase revenue by 12.4k to 39.5k Rupees (see red-colored cells). Once we had quantified the revenue impacts of potential distribution reallocation decisions, we communicated this information to the managers of the data-providing manufacturer. The manufacturer communicated the insights to the intermediaries and persuaded them to implement the recommended changes in their operations. We discuss this field implementation next.

Study 3: Field Implementation

In Study 3, we intend to implement the insights gained from Study 2 to show that empirical insights can guide managerial decision-making. With Study 3, we aim to answer a) whether alignment increases the manufacturer's profitability; b) whether alignment increases intermediaries' satisfaction; c) whether alignment causes an increase in dealers' satisfaction, and d) whether the dealers' satisfaction is related to manufacturers' profitability. Accordingly, our field implementation in Study 3 consists of four parts, as we discuss next.

In the first part of our field implementation, we have communicated the findings from Study 2 and have recommended the manufacturer to inform the intermediaries of the need for alignment and provide strategic advice to implement the insights based on our supply-side reallocation exercise. Accordingly, we have communicated how reallocating one unit of distribution from one combination to other combinations can affect the manufacturer's revenue (as seen in Table 5). The manufacturer, having a national presence, has administrative and technical difficulties implementing the recommendations throughout the country and has selected a specific region for the field implementation. The manufacturer has strategically advised on the findings from Study 2 and has recommended changes to operational modalities, that is, dealing and stocking more units of a product type aligned with a specific intermediary and market type. The manufacturer has made intermediaries aware of the changes through its sales force and ensured that they follow the recommendations, then evaluated the impact of the implementation from the revenue and profit of that region at the end of the six-month: May 2019 to October 2019.²⁰ Regarding the internal validity of our field implementation, we would like to note that 1) the manufacturer has not changed its marketing and allied strategies during the time of the field implementation (even at the national level); 2) there is no significant changes in the construction product market, and 3) there is no change in the number of intermediaries in the specific region or product types marketed in that region. As seen in Table 6, the field implementation has generated substantive performance results for the manufacturer, which experienced a 14% (13%) increase in its revenue (profit) from the corresponding region during the

²⁰ In certain seasons, such as fall and spring (between August and November, and February and April), construction businesses observe a demand lift due to favorable environmental conditions. First, we would like to note that the field implementation is done based on the insights from Study 2, where we already account for seasonality. That being said, in our case, the manufacturer's field implementation covers two 6-month blocks, both of which are expected to include potential demand lifts due to seasonality. Accordingly, we believe that the seasonality should not change the profit/revenue impact of our distribution reallocation recommendations qualitatively. To confirm that our belief is accurate, we have consulted the manufacturer and asked them how the numbers would change if seasonality is accounted for. Their back-of-the-envelope calculation suggests that the recommended intermediary realignment is expected to increase the manufacturer's profit (revenue) by 8.69% to 17.11% (9.36% to 13.99%) even after accounting for the potential impact of seasonality.

relevant six-month window, which can be attributed to the alignment of the intermediary, product, and market types.

Table 6: Results-Field Implementation

Performance	Difference(pre-post)
Manufacturer Revenue	14% Increase
Manufacturer Profit	13% Increase
Intermediary Satisfaction	7.71% Increase

In the second part of our implementation, we have asked the manufacturer to survey satisfaction levels among the dealers regarding 1) satisfaction with the manufacturer’s service, and (2) satisfaction due to increases in sales. The manufacturer has surveyed satisfaction levels before and after recommending the strategic alignment. Dealer satisfaction is evaluated using a Likert scale where 1 = dissatisfied, and 7 = satisfied. A comparison of satisfaction levels before and after the recommended implementation shows a 7.71% increase in the average level of dealer satisfaction level due to implementing the recommended strategic alignment.

In the third part of our implementation, we compare two dealer groups’ satisfaction levels: 1) a treatment group that received strategic advice on alignment, and 2) a control group that did not receive the advice. This comparison is made to support the insight that dealer satisfaction is due to the alignment. The control group dealers are from a different region, whose geodemographic characteristics have a 76% match with that of the treatment region (i.e., the region where the implementation was conducted). Note that the control group intermediaries have a one-to-one matching (pair-level) with treatment group intermediaries in terms of the products they deal with, the market they operate in, and the intermediaries’ size. Geodemographic characteristics (which are included to assess the match) are the average income level of the customers, the potential demand for the products (investigated) in the market, the average size of the intermediaries, the population in the regions, number of active builders and developers, and consumption of the investigated products in the regions over the past year.

Regarding the match, some of the insights are provided by the focal manufacturer in terms of percentage match. We have then taken the characteristics, looked at the mean values, and compared them using a similarity index, finding that 24% of the mismatches occurred mainly due to the population, average income of consumers, and the number of active builders and developers. We have validated the match/non-match index with the focal manufacturer. Based on the data provided by the latter, we find that the treatment group dealers experienced, on average, a 7.29% increase in satisfaction than the control group dealers.

In the fourth and last part of our implementation, to contribute to the intermediary satisfaction stream of literature, we link back dealer satisfaction with manufacturer performance. We find a positive and significant relationship, indicating that dealer satisfaction is critical for a manufacturer's profitability ($\beta=.00263$, $p<.05$). One of the ways to increase this satisfaction is to manage an effective strategic alignment between dealers and a manufacturer.

Model Robustness

To check the robustness of our proposed model, we estimate two alternative models. In our first robustness check, we incorporate the price of the focal product as an additional control into our proposed model and account for price endogeneity. We strictly follow the existing literature ([Papies, Ebbes and Van Heerde 2017](#); [Bombaij and Dekimpe 2019](#)) to identify a potential instrument for price and the arguments for using it. We use the cost of raw materials as our instrument, in line with the extant literature ([Cosguner, Chan and Seetharaman 2018](#)). We argue that raw material costs should not directly affect a manufacturer's revenue, but the effect is realized through price. Increases in the cost of raw material are expected to increase prices but should not affect the sales of products. As seen from the results for price endogeneity correction presented in Table 7, raw material costs positively affect the price of products with an R^2 value of 0.404.

The estimates of the second step regression (i.e., the alternative model with price) are provided in Table 4. As evident from Table 4, the residuals' coefficients from the first step regression for the price is also significant. Further, the corresponding price response parameter becomes significant and negative once the price endogeneity problem is controlled. All these suggest that it is essential to control for the potential endogeneity problem in the price variable to recover the corresponding price response parameter precisely. That being said, results in Table 4 suggest that our proposed model (without price) and this alternative specification yield identical adjusted R^2 values of 0.996. Thus, we retain our proposed specification without the price variable rather than using the alternative specification with the price variable.

Table 7: First Step Regression (Price Endogeneity)

Variables	Estimates	Std. Errors
Intercept	5.84***	0.33
Raw Material Cost	0.0006**	0.0003
R_Square: 0.404, Adjusted R^2 =0.387		
Note: Estimates with ***, **, and * are significant at 1%, 5%, and 10%, respectively. Estimates and standard errors are reported in thousands. Market-intermediary-product dummies are included in the model, but not reported to save space.		

As a second robustness analysis, we estimate a non-linear model with quadratic distribution terms at the intermediary-market-product type levels. See the “Alternative Model with Quadratic Distribution” column of Table 8 for this specification. The results suggest that 10 of the 12 response parameters (for the quadratic terms) are statistically insignificant at the 5% level. Further, the linear effects of distribution remain qualitatively similar to the proposed specification. Lastly, the alternative specification yields an identical adjusted R^2 value as the proposed model (0.996). Hence, due to its parsimony, we retain our proposed specification for the rest of our analysis.

Table 8: Revenue Estimation with and without the Square of the Distribution Variable

Variables	Proposed Model		Alternative Model with Quadratic Distribution	
	Estimates	Std. Errors	Estimates	Std. Errors
Discount Per intermediary	0.012***	0.004	0.01**	0.004
Competing Product's Distribution	-0.003***	0.001	-0.003***	0.001
Competing Product's Price	0.007***	0.002	0.006***	0.002
Competing Product's Discount Per intermediary	-0.009**	0.004	-0.009**	0.004
Distribution Residual	-0.003	0.013	-0.019	0.013

Consumption Expenditure	-0.052	0.076	-0.109	0.075
GDP Growth	-31.36***	11.130	-25.5**	10.930
Distribution of Competing Products	37.04***	13.840	44.29***	13.930
Power Used	-0.084	0.089	-0.064	0.089
Fuel	-0.193***	0.065	-0.215***	0.064
Distribution–Urban/Dealer/Premium	0.062***	0.013	0.074***	0.013
Distribution–Urban/Dealer/Non-Premium	0.066***	0.013	0.084***	0.014
Distribution–Urban/Institutional/Premium	0.102	0.077	0.288	0.215
Distribution–Urban/Institutional/Non-Premium	0.104***	0.014	0.11***	0.017
Distribution–Rural/Dealer/Premium	0.055***	0.013	0.058***	0.015
Distribution–Rural/Dealer/Non-Premium	0.054***	0.013	0.073***	0.018
Distribution–Rural/Institutional/Premium	0.088***	0.02	0.087	0.061
Distribution–Rural/Institutional/Non-Premium	0.071***	0.014	0.151***	0.027
Distribution–Semi-Urban/Dealer/Premium	0.075***	0.013	0.074***	0.016
Distribution–Semi-Urban/Dealer/Non-Premium	0.072***	0.013	0.085***	0.018
Distribution–Semi-Urban/Institutional/Premium	0.101***	0.015	0.139***	0.027
Distribution–Semi-Urban/Institutional/Non-Premium	0.085***	0.014	0.227***	0.031
Distribution Square–Urban/Dealer/Premium			0.237	0.160
Distribution Square–Urban/Dealer/Non-Premium			-0.056	0.274
Distribution Square–Urban/Institutional/Premium			-927.1	977.800
Distribution Square–Urban/Institutional/Non-Premium			1.898	1.683
Distribution Square–Rural/Dealer/Premium			1.331	0.886
Distribution Square–Rural/Dealer/Non-Premium			-0.235	1.029
Distribution Square–Rural/Institutional/Premium			17.95	74.500
Distribution Square–Rural/Institutional/Non-Premium			-9.232***	3.281
Distribution Square–Semi-Urban/Dealer/Premium			1.254*	0.695
Distribution Square–Semi-Urban/Dealer/Non-Premium			0.347	1.059
Distribution Square–Semi-Urban/Institutional/Premium			-13.82	14.400
Distribution Square–Semi-Urban/Institutional/Non-Premium			-23.15***	4.890
		R ² =0.996, Adjusted R ² =0.996	R ² =0.996, Adjusted R ² =0.996	

Note: Estimates with ***, **, and * are significant at 1%, 5%, and 10%, respectively. The distribution squares are measured in millions. Market-intermediary-product fixed effects and month dummies are included in the model, but not reported to save space.

Discussion

In this paper, we use three related studies to identify how a manufacturer can manage intermediaries to increase its profit and intermediaries' satisfaction. In Study 1, we identify through template analysis and text analytics tools that some sort of alignment of product, market, and intermediary may be beneficial to manufacturers. Insights suggest that such alignment can also increase intermediaries' satisfaction. In terms of theory, we build on the GVA model to demonstrate why alignment of product, intermediary, and market can be a profitable strategy for manufacturers. In Study 2, we test the insights obtained from Study 1 to show that alignment at product, market, and intermediary levels differentially impacts the studied manufacturer's revenue performance after

controlling for product-, market-, and intermediary-related factors, the manufacturer's marketing mix decisions, macro-economic factors, and seasonality. In Study 3, we quantify the managerial implications of the insights obtained in Study 2 in the field. Specifically, we show that insights from empirical research can substantially help manufacturers deploy strategies and increase profits. Hence, we make critical contributions to the literature and practice.

Contributions to the literature

Perhaps one of the significant contributions of our study is that it suggests increased attention should be paid in the future to managing intermediaries through strategies other than those outlined in the distribution channel literature. For example, existing channel research has identified coercion, incentives monitoring, relational governance, and idiosyncratic investments as the major channel governance strategies. However, our research shows that, beyond these strategies, a manufacturer may look at the alignment of product types with the market and intermediary types and act as a conduit of knowledge to provide strategic advice to intermediaries and advance the power and effectiveness of relational governance. Study 1 finds that an effective intermediary management strategy could advise the intermediaries about what product types to deal with and in which market. In essence, insights from Study 1 contribute to the literature on relational governance and bring forward an additional relational governance strategy that may be fruitful for manufacturers and intermediaries.

Second, although we use the GVA model to argue for the differential effects of the alignment of product, market, and intermediary types on manufacturers' performance, this model is not developed for a multilayered context (market, product, and intermediaries). We show that even when multiple layers exist, the effect of relational governance strategies (i.e., the alignment of intermediaries, products, and markets) can be explained with the help of the GVA framework. Thus, we extend the GVA framework's scope and open the door for future research in this space.

Third, the present study outlines the tremendous need for building contingency theories of distribution channel relationships. If we ignore the diversity of channels, we will not be able to understand further how channel governance operate in different contexts. Extant literature has recognized that the context in which firms operate has a tremendous impact on the way it develops strategies ([Frazier, Gill and Kale 1989](#)). Our results positively reinforce this conclusion. Therefore, the market context faced by intermediaries, including the type of market in which they are embedded, needs to be considered to develop contingency theories for intermediary research.

Fourth, with Study 2, we overcome the criticism of not exploring the practical implications of intermediary management strategies presented in the channel literature. Specifically, we show that the understanding of managers and intermediaries of the need to align intermediary, market, and product types is critical for a manufacturer. In essence, we find that various combinations of intermediary, market and product types have differential impacts on the manufacturer's revenue, extending the findings of Kumar et al. (2015). We also add to this line of inquiry by adding vertical heterogeneity by adding market type (i.e., rural, urban, or semi-urban). Based on the estimation results, we conduct a supply-side analysis and show the effect of a strategic distribution resource reallocation on the manufacturer's revenue. Finally, we show an additional way in which a manufacturer can add value to intermediaries. The extant literature explores the drivers of dealer satisfaction. We show that manufacturers' resource allocation decisions can enhance dealer satisfaction. This finding provides critical insights for managing channel conflict.

Contributions to practice

Two of the important questions raised in channel intermediary research are: 1) how a manager can use empirical findings in practice to enhance her company's profit; and 2) whether the empirical insights are useful in increasing profitability. We believe that the applied nature of research in channel management is the need of the hour, and in this study, we attempt to show that insights from an

empirical study can be taken to the field to test their effectiveness. As such, through a field implementation, we show that the application of alignment strategies can increase the manufacturer's revenue. In our context, the manufacturer has gained a 13% increase in profit in the region where the implementation is carried out. Note that the effects of the implementation can be more significant if it is made throughout the market. It is critical to think about the welfare implications of the recommended strategies on intermediaries, as well as the boost to manufacturers' performance. This research provides an additional strategy for manufacturers to enhance intermediary satisfaction. Consistently, through Study 3, we show that a manufacturer can increase such satisfaction by 7.71% by providing strategic advice on the alignment of the intermediary with product and market types.

We wish to highlight that this study investigates two critical matrices in the distribution channel literature - manufacturers' revenue and intermediaries' satisfaction - using advanced analytics tools such as revenue optimization and a predictive revenue model that accounts for endogeneity and heterogeneity. Moreover, this study provides an approach for implementing analytics-driven results in practice and captures the effect of implementation.

Strategically, using the insights from the study, manufacturers may decide on pricing strategies such as discounts to make the alignment work in a particular market condition for a specific product type; develop intermediary appreciation strategies to keep intermediaries motivated (by closely looking at the combinations); generate value for intermediaries so that they remain motivated (by, again, emphasizing a specific alignment), and develop effective intermediary pass-through strategies. Finally, regarding the generalizability of the insights, we would like to highlight that they should be valid across most manufacturers in emerging markets; however, market regulations, structure, and norms may sometimes prevent generalization.

Limitations and Future Research Directions

We first caution readers to be aware of the potential constraints inherent in our data and field implementations. Although we emphasize the value of exploring, investigating, and implementing strategies that can help manufacturers manage intermediaries for their own and the latter's welfare, we have met certain limitations. First, we emphasize that the results of our study may only be generalized to other industry contexts in any emerging market with the utmost caution. Our empirical study and field implementation is performed in only one industry and one emerging economy. Given the similarities in market and channel structures across emerging markets, we expect qualitatively similar findings to emerge from research studies performed in other emerging markets. We urge that more empirical research be conducted in different industries in other emerging economies to verify this expectation. Second, we consider the number of intermediaries in each intermediary type (i.e., dealers and institutional buyers).

One of the limitations that may influence the results is that the size of the intermediaries and their covered markets are omitted due to the unavailability of the required data. Future research may investigate this issue in detail when the relevant data become available. Third, it is possible that a manufacturer experiences competition at the intermediary level. However, data availability restricts us from incorporating such competition in our model. Future research may bring a much-required understanding of such competition and how it can impact manufacturers' profit. Fourth, our exposition of the strategies to increase intermediary satisfaction is solely based on the insights gained from the field implementation. Although we could have data on intermediary satisfaction from Study 3, it would be interesting to see how the effect of such satisfaction changes manufacturer profitability when a larger sample is surveyed, and secondary data are used. Fifth, our empirical findings can not be directly theorized (using hypotheses), although we attempted to explain why alignment may be a fruitful strategy building on the GVA framework. Given the topic is new and that not much research has been done in this area, this study focuses on the exploratory analysis to uncover relationships

across alignment at product, market and intermediary-type level, manufacturer performance, and intermediary satisfaction. As such, we do not propose hypotheses and develop conceptual arguments in support of our empirical results. Future research opportunities will be to develop theoretical propositions using the GVA or similar frameworks and empirically test the theoretically derived insights in similar contexts. One can also build on our empirical insights to develop new theoretical insights. Finally, one potential future research avenue is to investigate the valuation of intermediaries and how manufacturers' management of such assessment can enhance profitability. In this context, one can identify why and how investigating the valuation of intermediaries is different from other B2B set-ups, bring the possible network effects into context, use appropriate modeling framework, and show implementable strategies.

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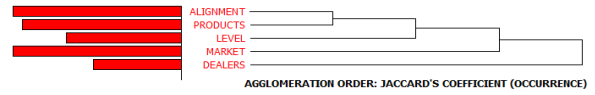
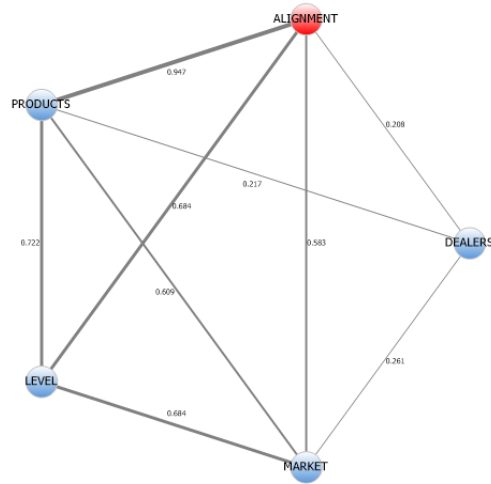
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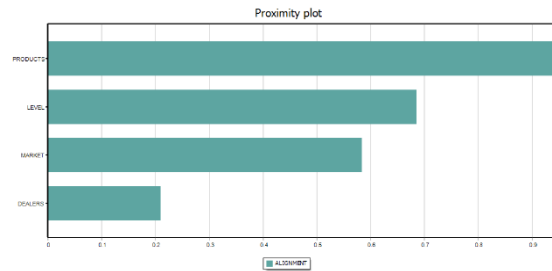
Web-Appendix

WA Figure 1: Text Analysis of the response to “What do you think can be done to manage channel intermediaries?”

Panel A: Link Analysis



Panel C: Proximity Plot



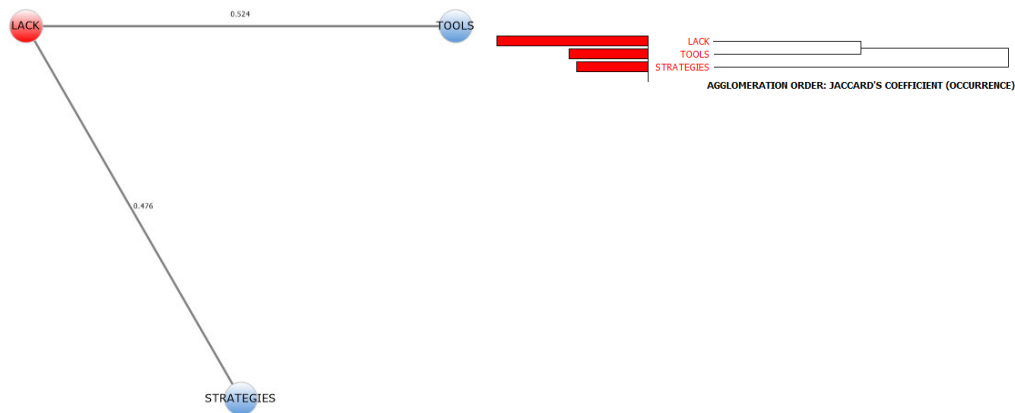
WA Table A1: Frequency Count

	FREQUENCY	% SHOWN	% PROCESSED	% TOTAL	NO. CASES	% CASES	TF • IDF
ALIGNMENT	19	24.05%	14.73%	8.37%	19	63.33%	3.8
MARKET	19	24.05%	14.73%	8.37%	19	63.33%	3.8
PRODUCTS	18	22.78%	13.95%	7.93%	18	60.00%	4
LEVEL	13	16.46%	10.08%	5.73%	13	43.33%	4.7
DEALERS	10	12.66%	7.75%	4.41%	10	33.33%	4.8

WA Figure 2: Text Analysis of the response to “Are channel intermediaries important for your business? Are there any specific intermediary management strategies you have (e.g., pay, trip, incentive, discount, etc.)?”

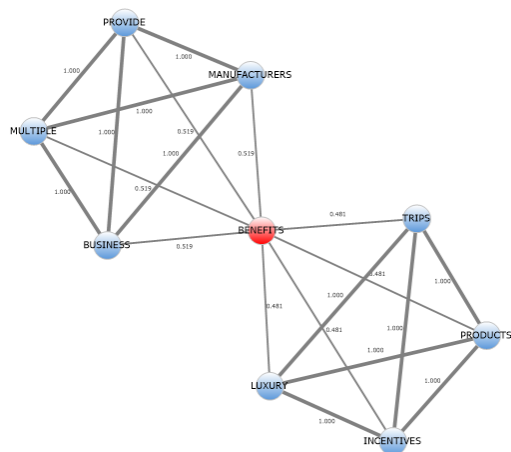
Panel A: Link Analysis

Panel B: Dendrogram

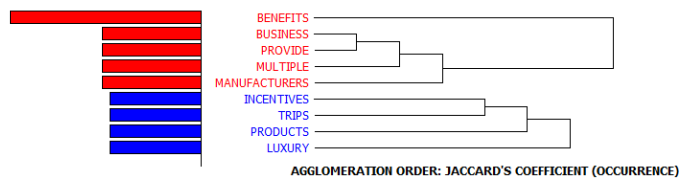


WA Figure 3: Text Analysis of the response to “how do manufacturers help intermediaries increase sales?”

Panel A: Link Analysis



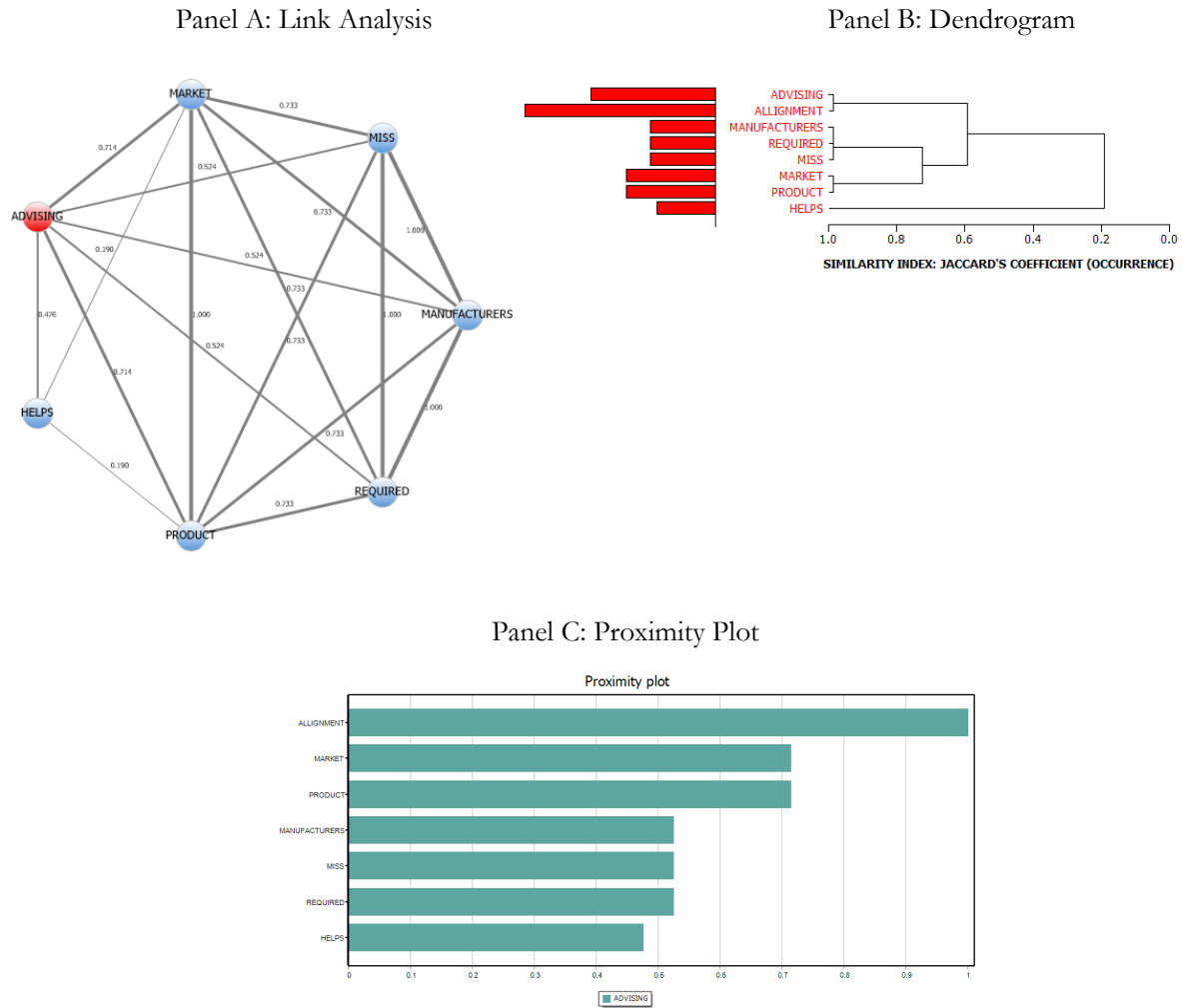
Panel B: Dendrogram



WA Table A2: Frequency Table

	FREQUENCY	% SHOWN	% PROCESSED	% TOTAL	NO. CASES	% CASES	TF • IDF
BENEFITS	27	20.00%	17.65%	10.80%	27	93.10%	0.8
BUSINESS	14	10.37%	9.15%	5.60%	14	48.28%	4.4
MANUFACTURERS	14	10.37%	9.15%	5.60%	14	48.28%	4.4
MULTIPLE	14	10.37%	9.15%	5.60%	14	48.28%	4.4
PROVIDE	14	10.37%	9.15%	5.60%	14	48.28%	4.4
INCENTIVES	13	9.63%	8.50%	5.20%	13	44.83%	4.5
LUXURY	13	9.63%	8.50%	5.20%	13	44.83%	4.5
PRODUCTS	13	9.63%	8.50%	5.20%	13	44.83%	4.5
TRIPS	13	9.63%	8.50%	5.20%	13	44.83%	4.5

WA Figure 4: Text Analysis of the response to “what do you see as a major strategy that can help you increase performance?”



WA Table A3: Frequency Count

	FREQUENCY	% SHOWN	% PROCESSED	% TOTAL	NO. CASES	% CASES	TF • IDF
ADVISING	21	16.67%	11.80%	7.61%	21	72.41%	2.9
ALIGNMENT	32	25.40%	17.98%	11.59%	21	72.41%	4.5
HELPS	10	7.94%	5.62%	3.62%	10	34.48%	4.6
MANUFACTURERS	11	8.73%	6.18%	3.99%	11	37.93%	4.6
MARKET	15	11.90%	8.43%	5.43%	15	51.72%	4.3
MISS	11	8.73%	6.18%	3.99%	11	37.93%	4.6
PRODUCT	15	11.90%	8.43%	5.43%	15	51.72%	4.3
REQUIRED	11	8.73%	6.18%	3.99%	11	37.93%	4.6